

World in Brief: Bessent announces “Operation Economic Outcast” against Iran; Trump escalates trade war with Canada



Photograph: Getty Images

Scott Bessent, [America's treasury secretary](#), threatened to expand secondary **sanctions** against **Iran's** trading partners, targeting sectors such as digital assets, technology, gold, aviation and shipping. Calling the plan “Operation Economic Outcast”, he said **Donald Trump** was asking world leaders to “cease their interactions” with Iran. But Mr Bessent did not name any countries nor set any deadlines. Iran dismissed America's plans as “bombast”.

Mr Trump said America will raise **tariffs** on Canadian cars, automotive parts and steel to 50%, beginning on January 1st, further escalating a dispute after trade negotiations collapsed last week. America had already [imposed 50% tariffs](#) on \$20bn worth of Canadian goods. Mark Carney, Canada's prime minister, had promised to retaliate with levies on American products including steel, dairy and electronics from September 8th.

Andy Burnham pledged support for **Ukraine's** [depleted](#) air-defence systems during a visit to Kyiv, his first foreign trip as **Britain's** prime minister. Britain will also share long-range-missile

manufacturing techniques with Ukraine, which Russia criticised as direct participation in the war. Meanwhile Volodymyr Zelensky, Ukraine's president, dismissed calls from his former defence minister to [hold wartime elections](#), saying they would “destroy” his country by sowing division.

Meanwhile Vladimir Putin, **Russia's** president, gave the state powers to seize control of infrastructure which it considers inadequately protected from Ukrainian attacks. The order covers facilities in several sectors, including energy, transport and logistics. Ukraine has recently [intensified strikes](#) on Russia's economy. On Monday Ozon, a Russian retailer, said Ukrainian drones had targeted several of its warehouses.

Gunmen killed two **United Nations peacekeepers** in an ambush in **South Sudan**, according to the local UN mission. Seven others were injured, including peacekeepers, civilian staff and South Sudanese police officers. The mission said it had deployed forces to secure the area. Violence between the government and rebel groups [has escalated](#) in recent months. Attacks on peacekeepers, however, are rare.

Alibaba's stock price fell by nearly 9% after it announced it would issue new shares at a sharp discount to raise funds for its [AI business](#). The Chinese tech giant could make up to HK\$80bn (\$10.2bn) from the issue. Investors worried that issuing cheaper new stock would reduce the value of their existing holdings.

Shein started book-building for its much-delayed initial public offering in Hong Kong. It will seek to raise HK\$13.9bn (\$1.8bn). The Chinese fast-fashion firm could achieve a valuation of \$27bn, far below the \$98bn it reached in 2022. Weak global growth, rising costs (including those related to American tariffs) and intensifying competition are to blame. Shares will start trading on September 1st.

Figure of the day: 12.66 metres per second, the running speed clocked up by Superman on August 17th. That is impressive, but China will struggle to make money from humanoid robots. [Read why](#).

The US in Brief: Economic D-Day



Photograph: Shutterstock

Today will be “**economic D-Day for Iran**”, said Scott Bessent. The treasury secretary is expected to unveil new sanctions against the country and its trading partners. He has promised “the single greatest financial offensive ever marshalled against an adversary”. Meanwhile, Donald Trump has continued to spar with Mark Carney, Canada’s prime minister, after trade talks collapsed on Friday. Mr Carney said his country would retaliate “dollar for dollar” against [America’s new 50% tariffs](#); the president said Canada wanted the “benefits of being a state without being one”.

A sailor aboard the *uss Abraham Lincoln* said his father had been detained by **Immigration and Customs Enforcement**. Joshua Aviles added that he would struggle to “continue working 12+ hour days” knowing his father, who is from Nicaragua, was “possibly being treated like a criminal”. The aircraft-carrier, which spent more than 250 days at sea in the Middle East as conditions onboard deteriorated, was finally relieved by the *uss George Washington* last week.

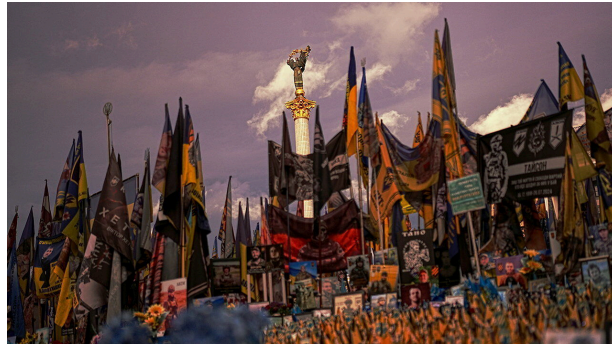
Democrats criticised a reported meeting between **Jared Kushner** and **Hakeem Jeffries**. Mr Trump’s son-in-law and envoy discussed [cross-party collaboration](#) with the party’s minority leader in the House of Representatives, according to the *New York Times*. Mike Johnson, the Republican House speaker, shrugged off the

reports, suggesting Mr Kushner was not involved in the “day-to-day in the White House”.

A fast-moving [wildfire](#) in Reno forced more than 90,000 people to evacuate. The Hawk fire, which broke out on Saturday in the Sierra Nevada mountains, has razed more than 15,000 acres (6,000 hectares) and injured at least six people. Joe Lombardo, **Nevada’s** governor, declared a state of emergency over the weekend. The blaze was reportedly caused by humans.

Mr Trump rounded off celebrations for America’s 250th birthday with **IndyCar’s Freedom 250 Grand Prix**, a 25-car race through the streets of Washington. Tickets were free; 200,000 spectators were expected. Mr Trump took a celebratory lap around the track in his limousine before waving a green flag to start the race. Other commemorative events have included parades, fireworks and [a brawl on the White House lawn](#).

A sombre birthday for Ukraine



Photograph: AP

Ukraine celebrates its 35th independence day on Monday, but few locals are in the mood for a party. It has been 12 years since Russia began its war, and more than four since it launched a full-scale invasion. Tens of thousands of Ukrainians are dead, millions have fled and 20% of the country is occupied.

However, this year Ukraine has defied the odds and regained battlefield momentum. Developments in drone and missile technology have enabled it to [bring the war home to Russians](#), particularly with strikes on e-commerce hubs. But now Ukraine is running out of interceptors; Russian attacks are [severely harming its economy and military prospects](#). On Monday Ukraine's coalition of the willing—a group of supportive countries—is meeting; allies will probably pledge more military support. (On Saturday France promised to send more interceptors.) That may give Ukrainians more to celebrate.

Tensions rise in the occupied West Bank



Photograph: Reuters

Violence between Israeli settlers and Palestinians continued to escalate in the occupied West Bank over the weekend. On Friday a Palestinian teenager was killed and an elderly man severely wounded when a group of settlers raided a village near Hebron. The following night an arson attack occurred in a village near Nablus; nationalist graffiti suggests settlers were to blame. On Sunday morning an Israeli was stabbed and wounded in the Jordan Valley.

Settlers' stated aim is to cause "friction" with adjacent Palestinian villages. That tends to lead to intervention by the Israel Defence Forces, often on the settlers' side, followed by the expulsion of Palestinians and the expansion of Israeli settlements. The IDF has been slow to rein in the settlers, who have the government's support. In recent weeks Israeli security officials have repeatedly warned that settlers want to [provoke a new intifada](#) (Palestinian uprising), which would lead to the IDF entering Palestinian cities. That would bring even more violence and misery to the West Bank's embattled Palestinians.

Rochdale trial restarts



Photograph: Getty Images

This week the retrial of six alleged members of the Rochdale grooming gang begins in Manchester. The men deny raping and abusing two teenage girls between 2003 and 2006. The first trial collapsed in December after jurors, who had been ordered not to talk about the case outside court or to conduct independent research, were found to have set up a WhatsApp group in which they discussed a documentary on the topic.

Britain's grooming-gangs scandal—the long-ignored group-based sexual abuse of children by mostly Asian or Muslim (especially Pakistani) men—has rolled on for 20 years. Police failed to record suspects' ethnicity out of fear of appearing racist or upsetting community relations (they only began doing so last year). Investigations were badly botched. Following [a damning audit](#) published last year, a national inquiry is under way and hundreds of cold cases have been reopened. More trials are expected.

Donald, diamonds and denials



Photograph: David Gotlib via AP

Gaudy and gilded gifts are the way to Donald Trump's heart. A Qatari jumbo jet aside, few have been quite as ostentatious as a piece of jewellery Mr Trump received from representatives of Belgium's diamond industry in June. The watch-sized ring is studded with 321 diamonds, 56 sapphires, 13 emeralds and six rubies. Diamonds spell out two giant "T"s and the numbers 45 and 47 (Mr Trump is America's 45th and 47th president). Four weeks after receiving the present, Mr Trump approved a tariff exemption worth billions of dollars to Belgium's diamond industry.

Now Elizabeth Warren and Richard Blumenthal, two Democratic senators, are demanding answers about the gift. The ring's manufacturers have until Monday to explain themselves to Congress. The Trump administration and Belgium's diamond industry deny any special favours, claiming that the tariff exemption goes back to a trade agreement signed with the European Union in 2025. Diamonds are made under pressure; this week the ring's makers will feel some of their own.

Women's basketball becomes embroiled in the culture wars



Photograph: AP

As the [Women's National Basketball Association](#) enters the final stretch of its season, there is drama on and off the court. The league has become a battleground in America's culture wars. Much of the focus has been on Sophie Cunningham of the Indiana Fever, who has said transgender women should be barred from women's sports. She has become a MAGA cause célèbre.

Right-wing commentators have seized on every twist in the story, from rallies outside arenas to fans showing up in shirts supporting Ms Cunningham's view. Race is part of it, too. WNBA players are mostly black; Ms Cunningham is white. So is Caitlin Clark, the league's biggest star. Republican lawmakers have complained that she is being pushed around by other players, suggesting that race is a factor.

Why are Republicans pushing these culture-war buttons now? As the midterms approach, voters are focused on affordability. But race and trans issues offer better terrain on which to portray Democrats as out of touch. Ms Clark's attitude is probably indicative of most players: "Our focus is on basketball."

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Monday: What title did Charlemagne take in 800_{CE} with the help of Pope Leo III?

*Nothing is built on stone; all is
built on sand, but we must build
as if the sand were stone.*

Jorge Luis Borges